BERNSTEIN
SOCIETE GENERALE GROUP

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Japan Semiconductors

Japan Semis Earnings Preview (2Q CY26): Materializing the price hike upside


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We preview the upcoming 2Q CY26 quarterly results season for Japanese semiconductor companies based on a set of data sources that we track and proprietary methods to derive the expected results. The data pack is available upon request.

Share prices have come down, but expectations have not. Our coverage of Japan Semi/Equipment pulled back ~20% from the recent peak but are still up 77% YTD and now trades at 35x average P/E. However, 1. sell-side EPS is stale and the buy-side P/E is likely much lower, 2. EPS is likely to grow steeply in the next 2-3 years, as confirmed by ASML and TSMC's earnings on the strong capex and capacity expansion. When market sentiment comes back, these assets are likely deemed cheap again. Having said that, for the earning to work, the companies must guide well to meet the heightened expectations, which did not come down with share prices.

For equipment companies, WFE growth and pricing/margin expansion are two major focuses. WFE is clearly strong towards 2028, as suggested by ASML and TSMC guidance, and investors still like front end equipment companies first before shifting to back end though both would benefit. 2027/28 WFE for buyside expectations are already $200/250bn, respectively, so the upside is more on margins and idiosyncrasy. **TEL, Screen** and **Kokusai** all have potential to raise equipment prices given the yen depreciation, and investors expect margin expansion in 2H, and expect companies to raise guidance accordingly. However, considering that it's 1Q earnings, we'd expect more upside in the next guidance, except for Kokusai which should raise full year guidance. TEL may raise 2027 WFE which would also be a plus. **Lasertec** will provide 27/6 guidance but might not beat investors heightened expectations of ¥380-400bn orders, unless it's willing to guide for the A200 upside. Conversely, **Advantest** is likely to beat and raise OP, and any mention of CPU/CPO testing would be potential upside. **DISCO** if guiding for QoQ shipment growth would also see upward revision.

For non-equipment names, price hike from shortage is still the keyword. **Renesas** is expected to benefit from the price hike and see margin expansion in 3Q/4Q. **SUMCO** 2Q results are likely inline for 10% revenue QoQ, but it's all about LTA negotiation color (which we don't see much to be provided) to drive share price movements here. **Ibiden** corrected 39% from peak partially due to the potential Rubin Ultra 2-die change, but Rubin is ramping up now and Ibiden may raise the full year guidance of ¥90bn OP to drive share price upside. **Hoya** results are likely solid with strong EUV and HDD substrate demand and share gain; share price has been more resilient in the correction, but there is a lack of torque from price upside for HDD substrates.

On FX, JPY depreciates further, with 2QCY26 USDJPY at ¥159.43 vs. ¥156.88 (1.6% depreciation), this would be a slight tailwind for most companies. 2Q26 QTD is showing further JPY depreciation to ¥162.16 (+1.7%). In our view, Ibiden, DISCO, Advantest, SUMCO and Renesas are likely to benefit more from the FX sensitivity.

BERNSTEIN TICKER TABLE

			17 Jul 2026		TTM		Reported EPS			Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
6857.JP (Advantest)	O	JPY	27,505	39,200	105.6%	JPY	514.52	735.65	870.09	53.5	37.4	31.6
6525.JP (Kokusai)	O	JPY	8,801.00	8,240.00	123.1%	JPY	128.63	200.23	260.07	68.4	44.0	33.8
7735.JP (Screen)	M	JPY	16,510	12,600	134.6%	JPY	486.61	572.60	662.24	33.9	28.8	24.9
8035.JP (Tokyo Electron)	O	JPY	65,100	59,200	93.4%	JPY	1,250.88	1,504.14	1,848.77	52.0	43.3	35.2
6920.JP (Lasertec)	O	JPY	41,890	50,000	99.4%	JPY	937.82	893.18	976.61	44.7	46.9	42.9
6146.JP (DISCO)	O	JPY	64,780	85,000	10.9%	JPY	1,246.28	1,733.62	2,127.33	52.0	37.4	30.5
7741.JP (Hoya)	O	JPY	25,215	33,100	(2.7)%	JPY	744.42	802.89	946.43	33.9	31.4	26.6
6723.JP (Renesas)	O	JPY	3,822.00	6,300.00	60.2%	JPY	181.61	244.76	298.54	21.0	15.6	12.8
3436.JP (SUMCO)	M	JPY	3,914.00	3,190.00	186.7%	JPY	(33.61)	(57.32)	47.60	(116.5)	(68.3)	82.2
4062.JP (Ibiden)	O	JPY	15,685	23,900	358.6%	JPY	214.91	259.64	411.19	73.0	60.4	38.1
JPL			2,545.21									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

6723.JP estimate is Adjusted EPS; 6723.JP valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Advantest (PT=¥39,200), Kokusai (PT=¥8,240.00), Tokyo Electron (PT=¥59,200), DISCO (PT=¥85,000), Lasertec (PT=¥50,000), Renesas (PT=¥6,300.00), Hoya (PT=¥33,100) and Ibiden (PT=¥23,900) Outperform.

We rate Screen (PT=¥12,600) and SUMCO (PT=¥3,190.00) Market-Perform.

DETAILS

Exhibit 1 summarizes the tracking data for the upcoming earnings. Note that

- TEL's QoQ trend from imports is more consistent with consensus of +8% QoQ despite regression results being negative.
- Screen regression shows downside to consensus, but there is ~¥20bn revenue it can recognize from Swaysure.
- Renesas auto revenue regression R^2 got weaker, and we wouldn't expect a miss of -9.3% QoQ suggested by regression.

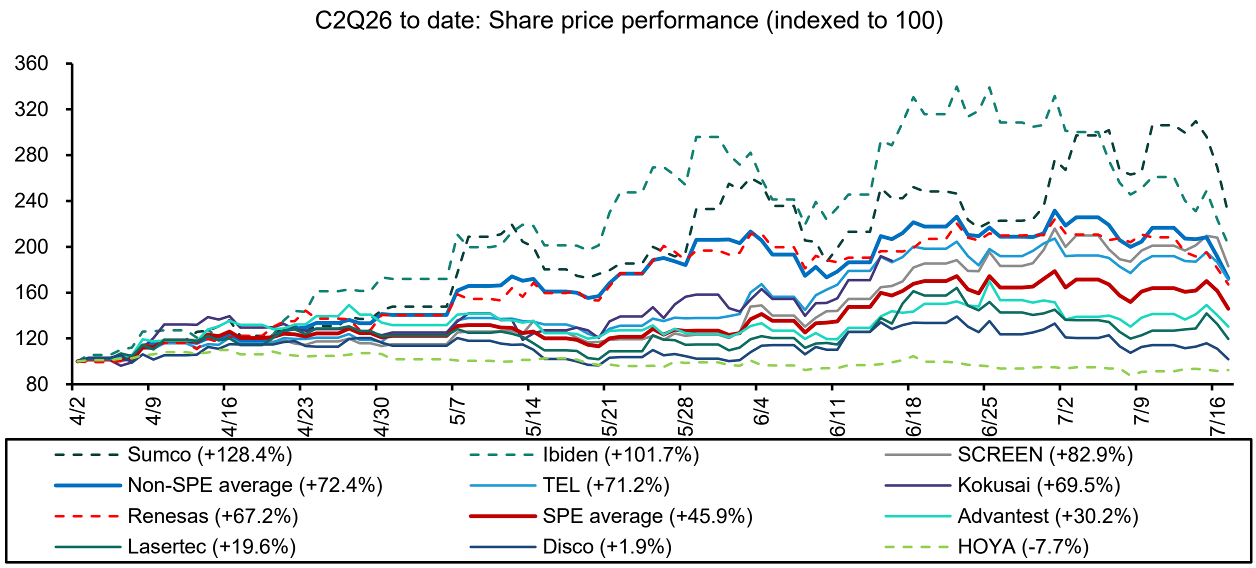
EXHIBIT 1: **Summary of sector preview data points**

Company Data source	Revenue (JPY bn) Regression	% QoQ [1]	% YoY [1]	BERN	Cons.	Delta (%) vs. BERN	vs. Cons	R^2	n Months of Data
Tokyo Electron (SPE rev)	634	(9.8%)	18.2%	756	765	(16.1%)	(17.2%)		
SEAJ industry	596	(15.2%)	11.2%					0.928	2
Taiwan import	156	19.2%	35.3%					0.857	3
PRC import	227	34.0%	(5.1%)					0.843	3
South Korea import	140	(9.7%)	45.4%					0.866	3
US import	57	31.1%	56.7%					0.399	2
Advantest rev	353	7.5%	33.8%	340	336	3.8%	5.0%		
SEAJ industry	340	3.6%	28.9%					0.953	2
Taiwan import	199	14.4%	34.1%					0.953	3
PRC import	49	43.5%	51.7%					0.688	3
South Korea import	74	27.1%	124.5%					0.764	3
US import	8	35.8%	26.8%					0.351	2
Screen (SPE rev)	94	(36.3%)	(14.2%)	121	127	(22.1%)	(26.1%)		
Taiwan import	34	48.3%	12.1%					0.858	3
PRC import	20	(50.6%)	(56.8%)					0.619	3
Kokusai rev [2]	77	24.2%	19.8%	74	73	4.4%	5.5%		
PRC import	32	51.0%	71.2%					0.704	3
Lasertec Production	68	53.9%	(2.5%)						
Japan export		(3.9%)	68.2%					0.732	2
SUMCO rev	111	9.5%	7.9%	112	111	(1.3%)	(0.2%)		
Japan export		21.5%	(2.0%)					0.629	2
Ibiden Electronics rev	75	5.5%	33.8%	74	73	2.0%	2.6%		
Japan production		10.4%	28.3%					0.958	2
Renesas rev	338	(9.3%)	4.2%	390	394	(13.4%)	(14.3%)		
Renesas Auto rev	139	(19.2%)	(14.0%)	180	181	(22.9%)	(23.5%)		
Japan MCU export		5.3%	(21.7%)					0.453	2
Renesas IIoT rev	196	(1.3%)	21.8%	208	211	(5.6%)	(6.9%)		
WSTS Japan MCU		13.5%	29.0%					0.827	2

1. QoQ / YoY % represent revenue growth for company-level, and import / export / etc. growth for underlying data.

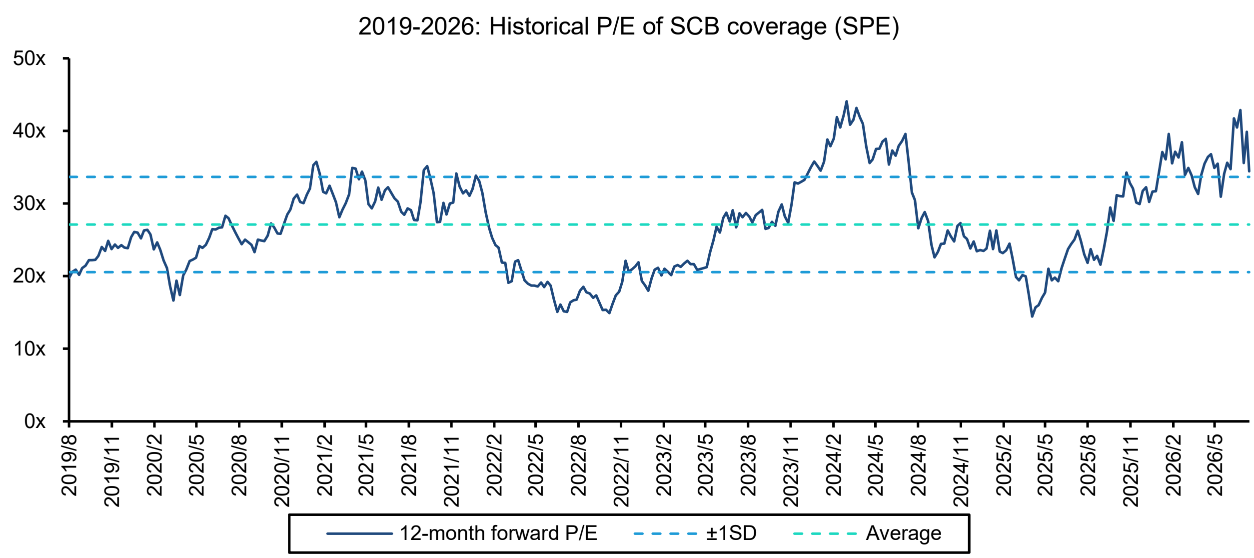
2. Kokusai revenue estimates are assuming QoQ flat ex-China revenue.
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: **Over the last 2 months, SPEs have underperformed commodity (Ibiden / Sumco) amd analog (Renesas)**



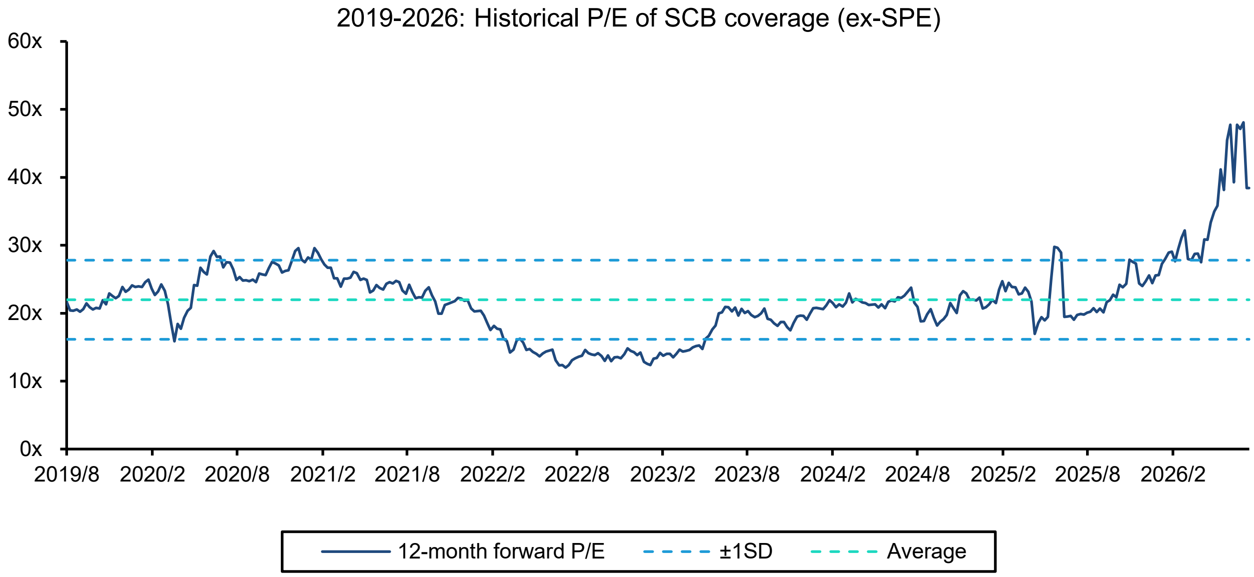
Source: Bloomberg, Bernstein analysis.

EXHIBIT 3: **Valuation for Japan SPE coverage companies have pulled back 20% from the recent peak.**



Source: Bloomberg, Bernstein analysis

EXHIBIT 4: **Valuation for Japan non-SPE coverage companies have also pulled back ~20% from the recent peak.**



Source: Bloomberg, Bernstein analysis

TOKYO ELECTRON

Tokyo Electron will publish 1Q27 results on Thursday 30th July.

Q1 miss seems likely — Both our SEAJ data tracker and import data point to a below-consensus Q1 between ¥596bn (-15% QoQ) to ¥672bn (-4% QoQ) SPE sales for TEL. As the biggest WFE manufacturer in Japan, there is an abundance of data points to track TEL, and we believe SEAJ / China import / Taiwan import / South Korean import / US import data collectively have good prediction power (Exhibit 6-Exhibit 13). Although, worth highlighting is the fact that underlying import data was mostly up QoQ (Taiwan up 19%, PRC up 34%, South Korea down 10%), but our regression is suggesting QoQ decline due to the usual seasonality. In any case, the annual revenue cadence should improve into Q2 and further into 2H, so Q1 miss shouldn't come as too much of a disappointment.

Guidance raise — On the earnings call the key data point would be the guidance — company suggested several times in Q1 that their current WFE guidance of 15% may have been low — so we expect them to raise it probably to 20% and guide for 20% + growth for TEL. Recent earnings from ASML and TSMC are also raising the bar for TEL's guidance revision.

Margin and pricing — The biggest debate in Q1 was how TEL can manage to hike their pricing (including more details on the different surcharges that they have mentioned), and the magnitude of such pricing upside TEL could see. We expect management to discuss some of the implications of such pricing revision and how it could reflect on improved margin outlooks. While we could see 2H margin upside, we don't expect this upside to materialize in Q2 guidance.

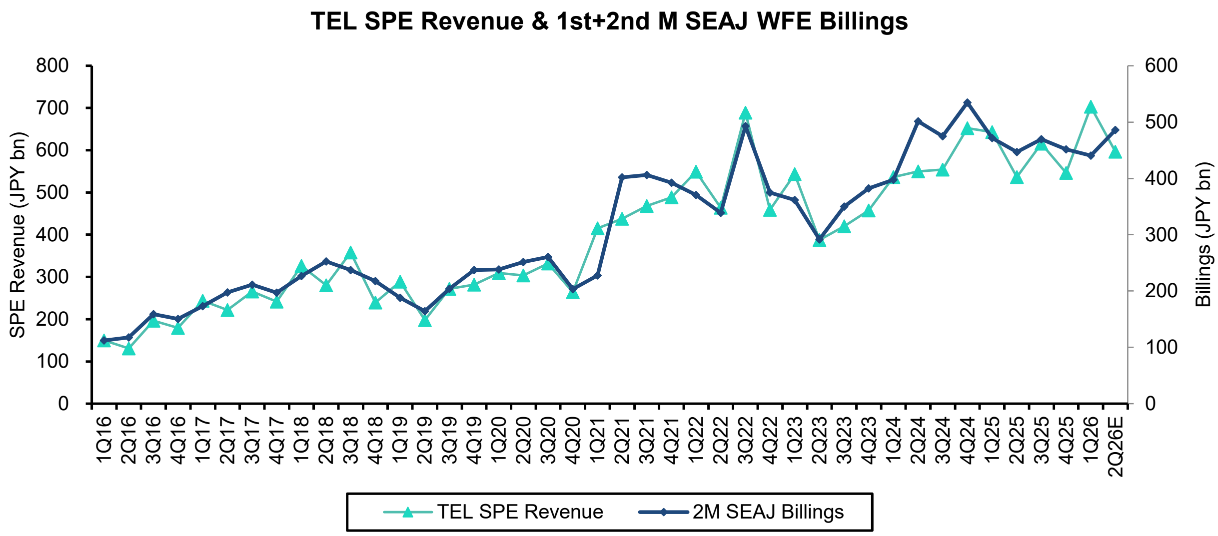
EXHIBIT 5: **Our SEAJ-based regression and Import-based regressions show a mixed signal for Q1 results.**

Tokyo Electron	Revenue (JPY bn) 1QFY26 (2QCY26)	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	YoY	QoQ
Total SPE	536	703			
Predicted (SEAJ)			596	11%	-15%
Predicted (Import)			672	25%	-4%
Bernstein			756	41%	8%
Consensus			765	43%	9%

Source: Company disclosures, SEAJ, Bloomberg, Bernstein estimates and analysis

SEAJ Japan WFE Billings

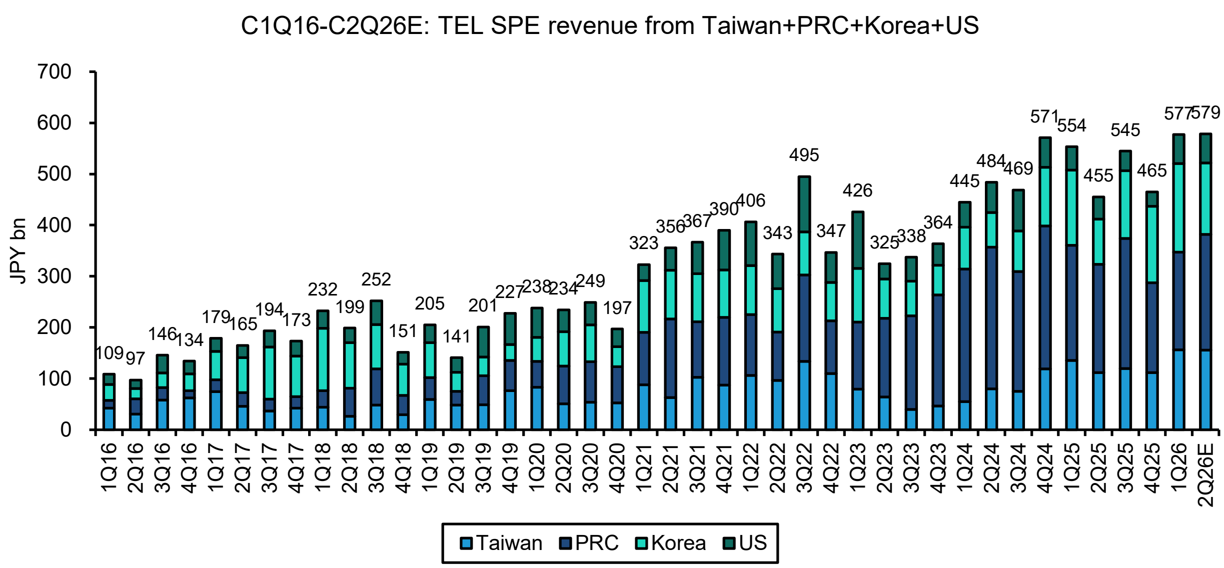
EXHIBIT 6: **SEAJ data suggests a QoQ decline for C2Q26, and the data has decent directional correlation with TEL.**



Source: Company disclosures, SEAJ, Bernstein estimates and analysis.

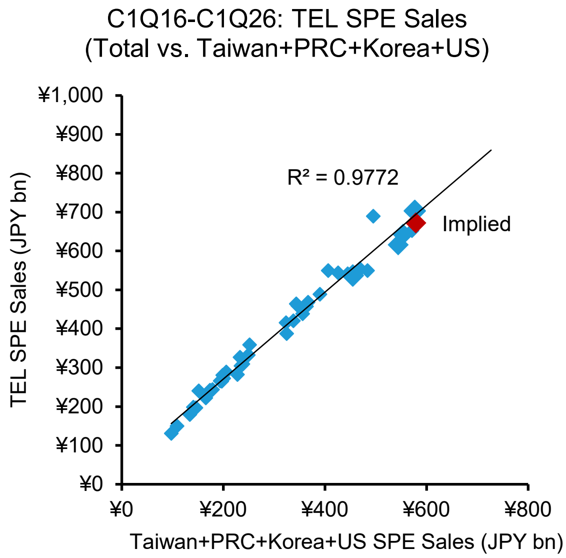
Import Data

EXHIBIT 7: **Based on regression, we expect TEL's SPE revenue from Taiwan, PRC, Korea and US to be collectively ¥579bn.**



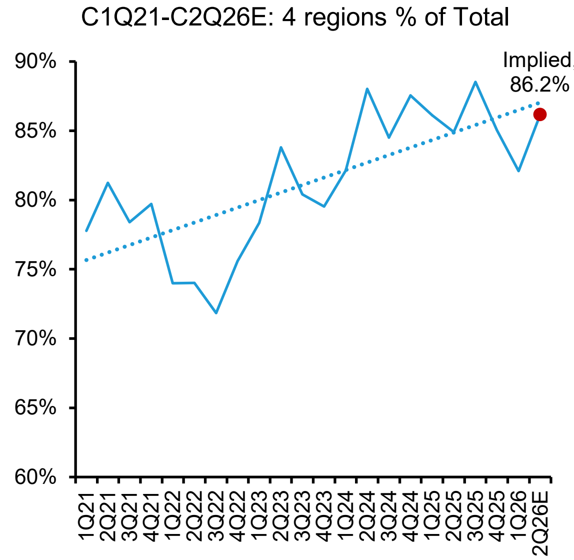
Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 8: **And we derive TEL's total SPE sales based on regression.**



Source: Company disclosures, Bernstein estimates and analysis.

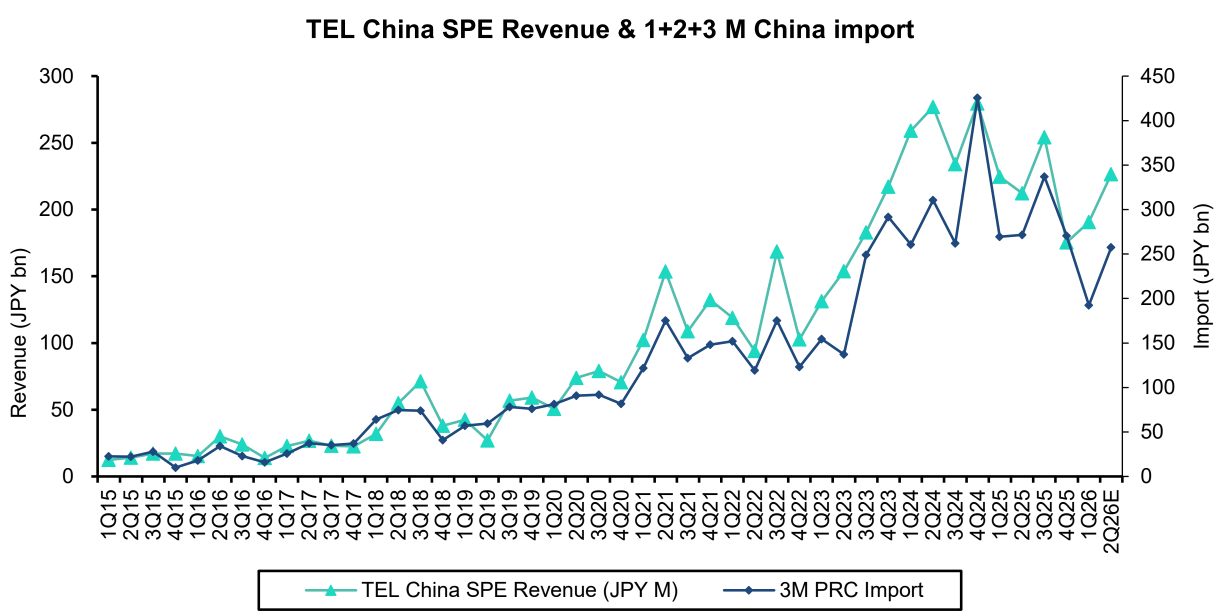
EXHIBIT 9: **Our regression-based TEL SPE sales of ¥672bn in CQ2 implies a 86.2% mix from the 4 major regions, and is in line with historical trend.**



Source: Company reports, Bernstein estimates and analysis.

China import

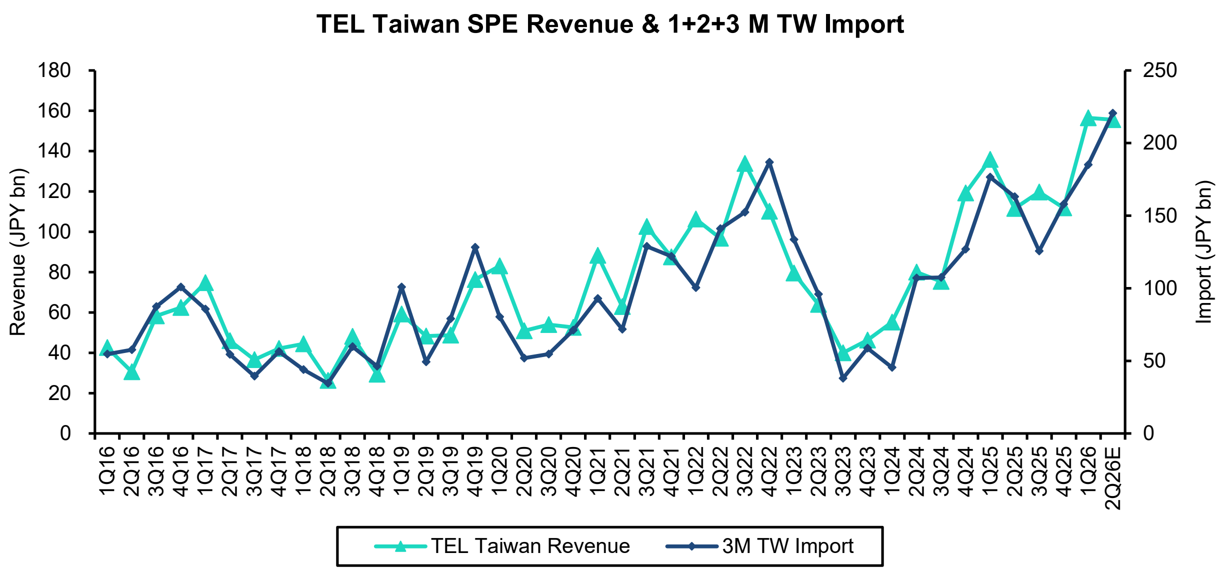
EXHIBIT 10: **China import for C2Q26 suggests a QoQ uptick, and the dataset shows good directional correlation with TEL.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Taiwan import

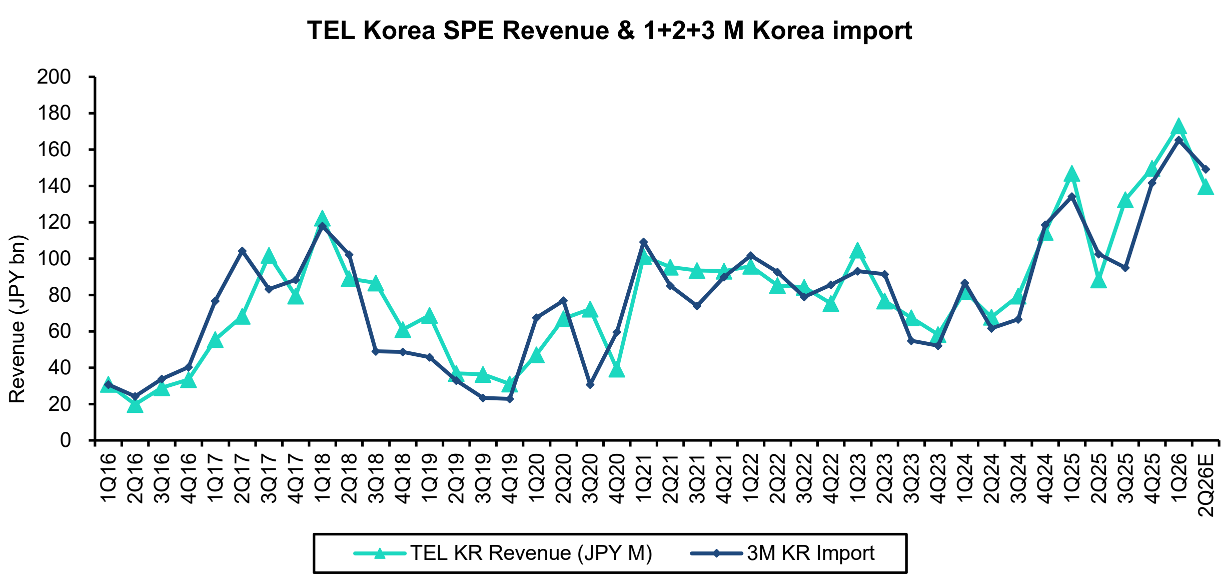
EXHIBIT 11: **Taiwan import data for C2Q26 is showing QoQ growth, and this dataset historically has shown good directional correlation.**



Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

South Korea import

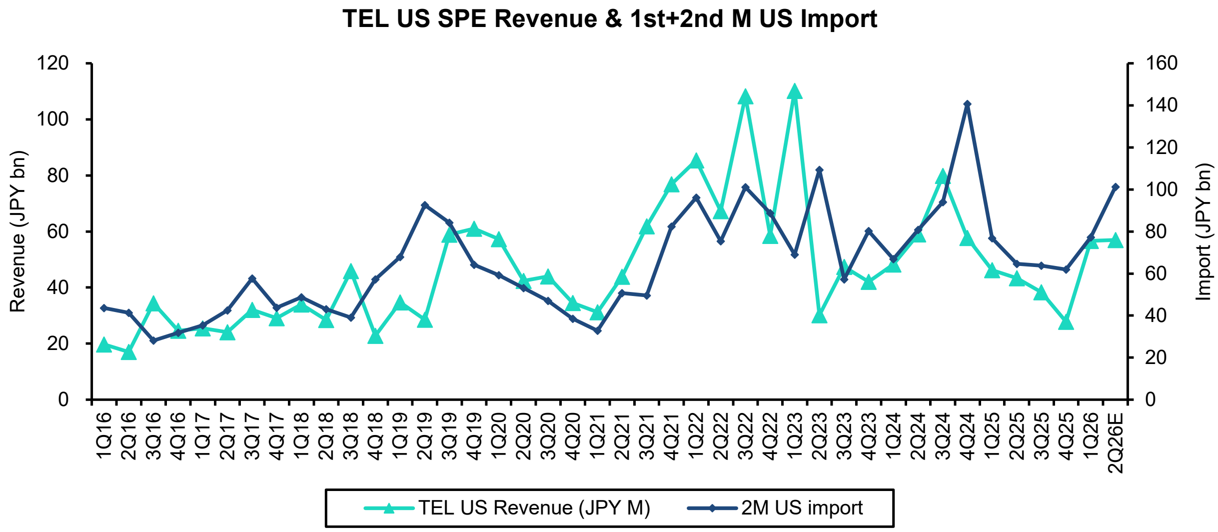
EXHIBIT 12: **Korean import data for C1Q26 suggests QoQ decline, and this dataset historically has good directional correlation.**



Source: Company disclosures, Korea Customs Service, Bernstein estimates and analysis

United States import

EXHIBIT 13: **US Import data for C2Q26 is implying QoQ growth, although directional correlation is hit-and-miss.**



Source: Company disclosures, United States International Trade Commission, Bernstein estimates and analysis

ADVANTEST

Advantest will publish 1Q27 results on Wednesday 29th July.

Expect slight Q1 beat — Our monthly trackers including SEAJ data suggests a Q1 beat with ¥340bn sales (+4% QoQ) for Advantest, which is +1.2% above consensus. Country import data suggest Advantest's Q1 revenue to be ¥366bn (+11% QoQ) also above consensus by 8.8% (Exhibit 14-Exhibit 23).

Expect guidance raise — Although, with public data abundantly available, this result itself shouldn't be of much surprise to investors. Eyes likely will rather be on guidance. We expect OP guidance raise to up to high ¥600s to ¥700bn, while we believe buyside expectation should be more around ¥730bn. We believe valuation should be attractive on these numbers, although concerns on potential share loss as well as news of Rubin Ultra potentially being a 2-die configuration instead of 4, may cap the upside in the near term.

Color on new drivers — As such, we believe company would need to provide new stories to drive share price. Some additional information on the potential market size, test intensity, and/or new opportunities they are seeing with regards to CPUs / CPO would be in anticipation.

EXHIBIT 14: **Both of our regression-based analyses point to a Q1 beat for Advantest.**

Advantest	Revenue (JPY bn) 1QFY26 (2QCY26)	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	YoY	QoQ
Total Sales	264	328			
Predicted (SEAJ)			340	29%	4%
Predicted (Import)			366	39%	11%
Bernstein			340	29%	4%
Consensus			336	27%	2%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

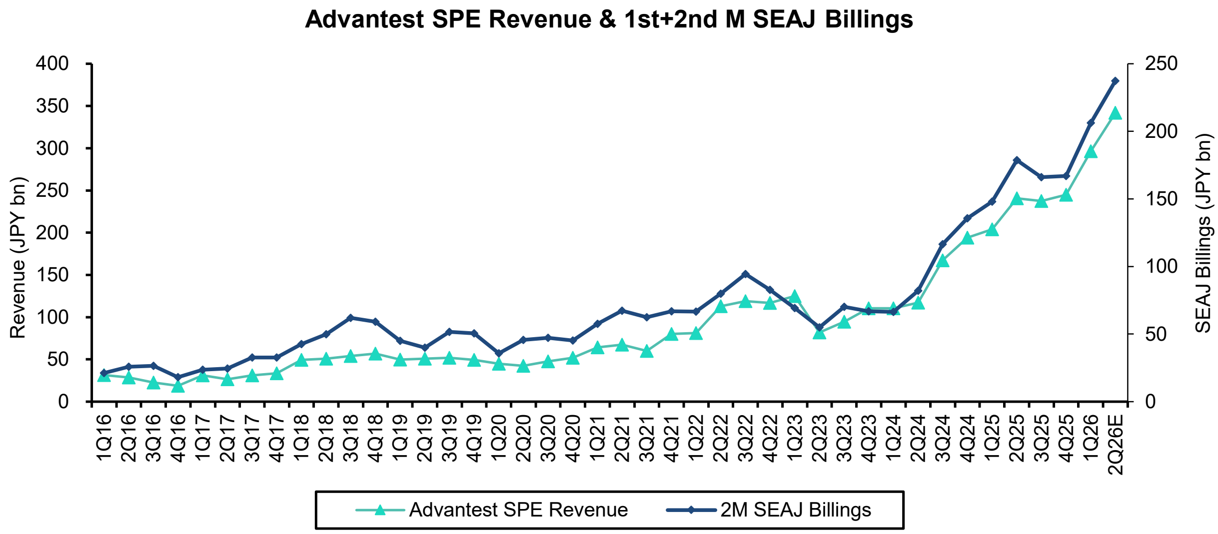
EXHIBIT 15: **We expect South Korea and Taiwan sales to be relatively strong in Q1, offset by some weakness in PRC / US.**

Advantest	Revenue (JPY bn) 4QFY26 (1QCY26)	1QFY27E (2QCY26E)	QoQ (%)	QoQ (¥ bn)
Total Import	**291.7**	**329.7**	**13.0%**	**38.0**
Taiwan	188.8	198.8	5.3%	10.0
PRC	56.8	49.2	(13.4%)	(7.6)
Korea	34.5	74.1	114.7%	39.6
US	11.6	7.7	(34.0%)	(3.9)
Revenue	**328.1**	**365.7**	**11.5%**	**37.6**

Source: Company disclosures, Bernstein estimates and analysis.

SEAJ Japan Tester Billings

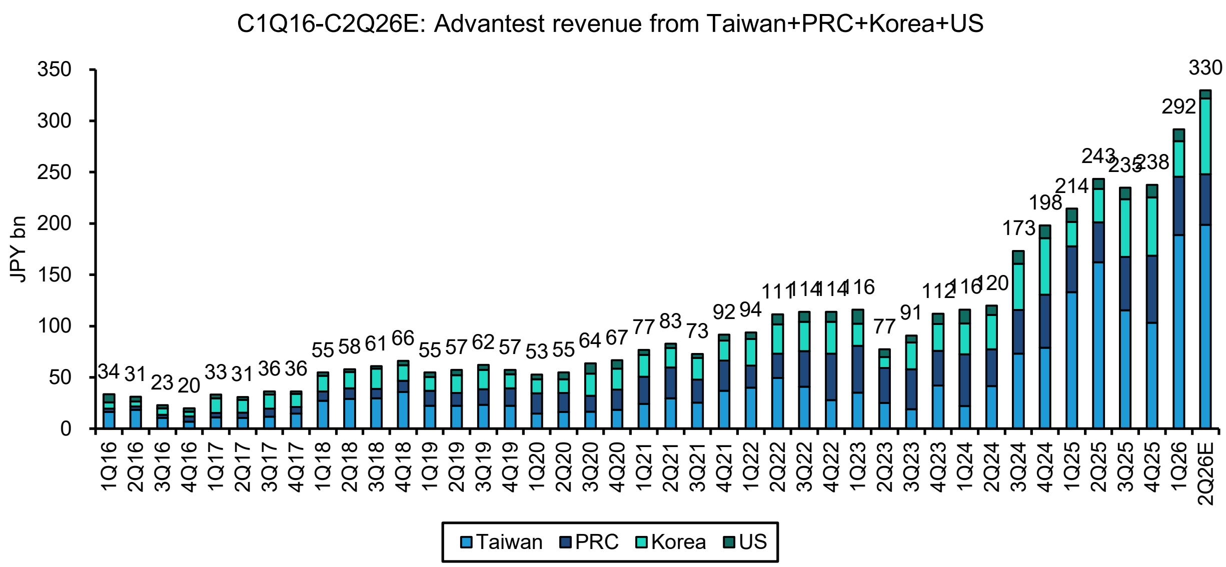
EXHIBIT 16: **SEAJ data suggests QoQ growth for C2Q26, and the data has very good directional correlation with Advantest.**



Source: Company disclosures, SEAJ, Bernstein estimates and analysis.

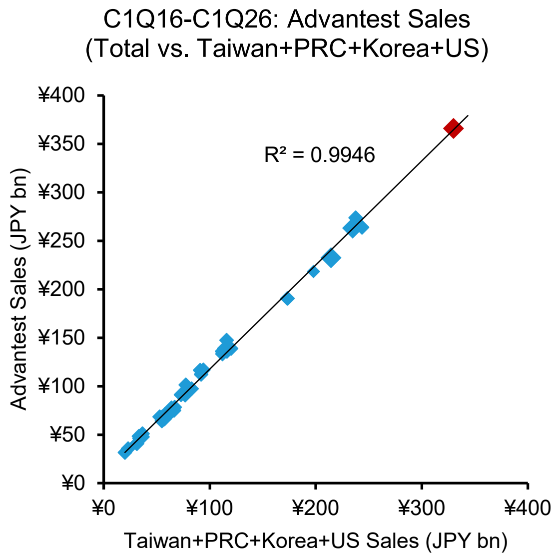
Import Data

EXHIBIT 17: **Based on regression, we expect Advantest's revenue from Taiwan, PRC, Korea and US to be collectively ¥330bn.**



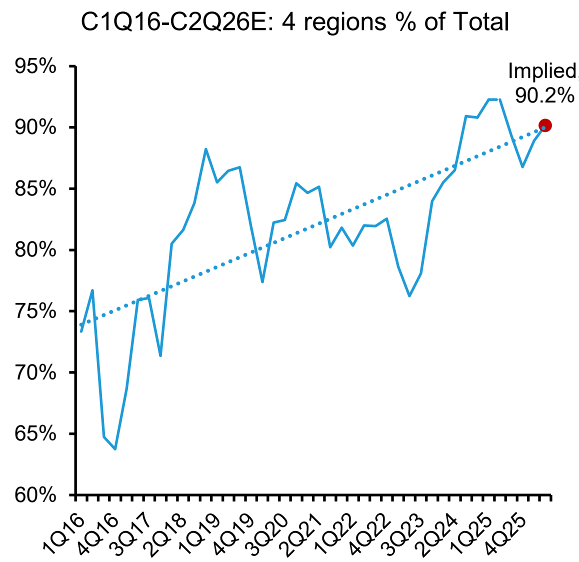
Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 18: **And we derive Advantest's total sales based on regression.**



Source: Company reports, Bernstein estimates and analysis.

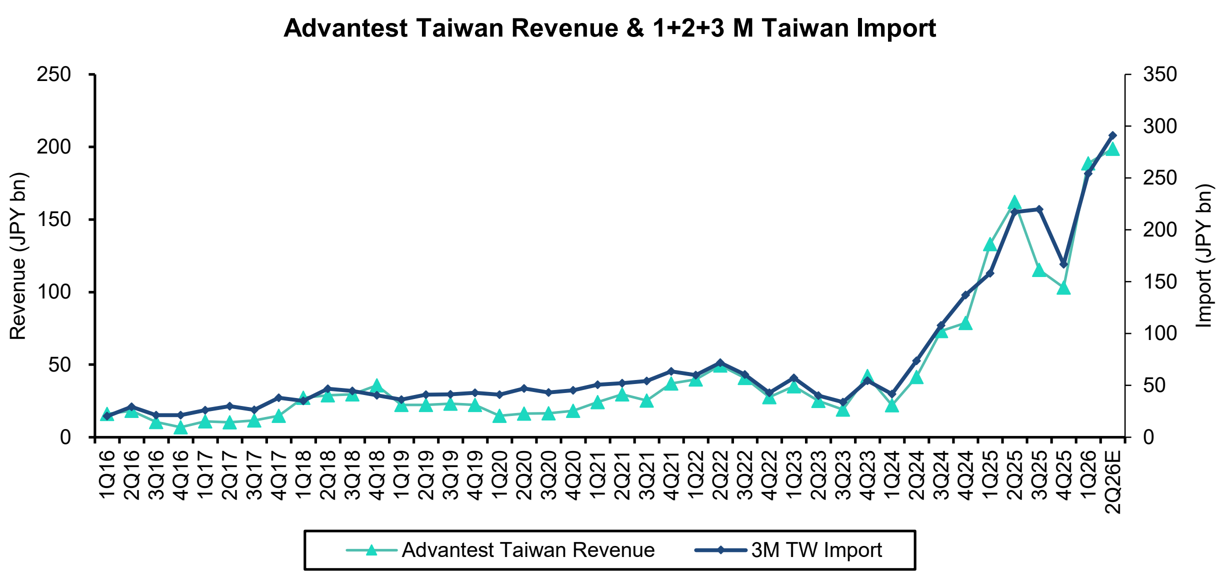
EXHIBIT 19: **Our regression-based Advantest sales of ¥366bn in CQ2 implies a 90% mix from the 4 major regions, and is in line with historical trend.**



Source: Company reports, Bernstein estimates and analysis

Taiwan import

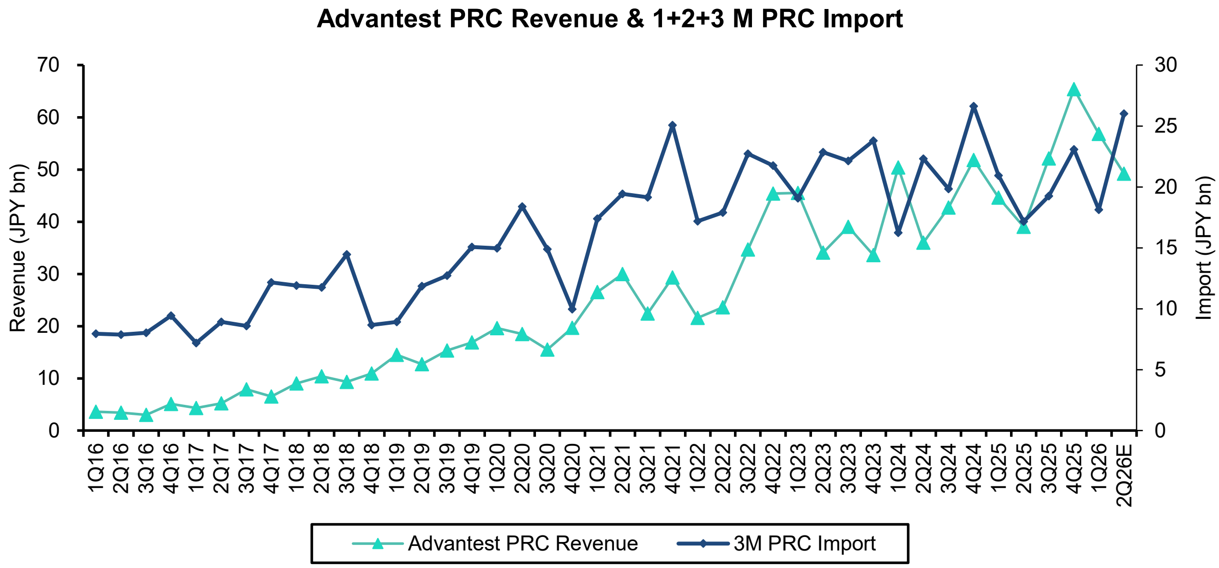
EXHIBIT 20: **Taiwan's C2Q26 import is indicating a QoQ growth, and this dataset historically shows good directional correlation with Advantest.**



Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

China import

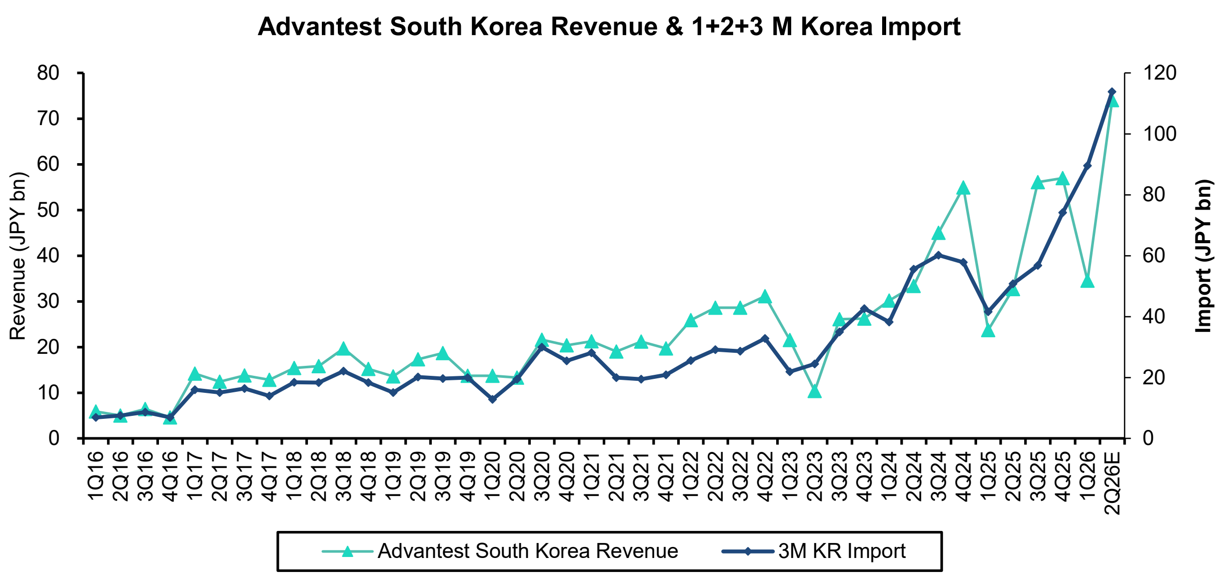
EXHIBIT 21: **China import in C2Q26 is indicating QoQ decline, although this dataset has less directional correlation with Advantest.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

South Korea import

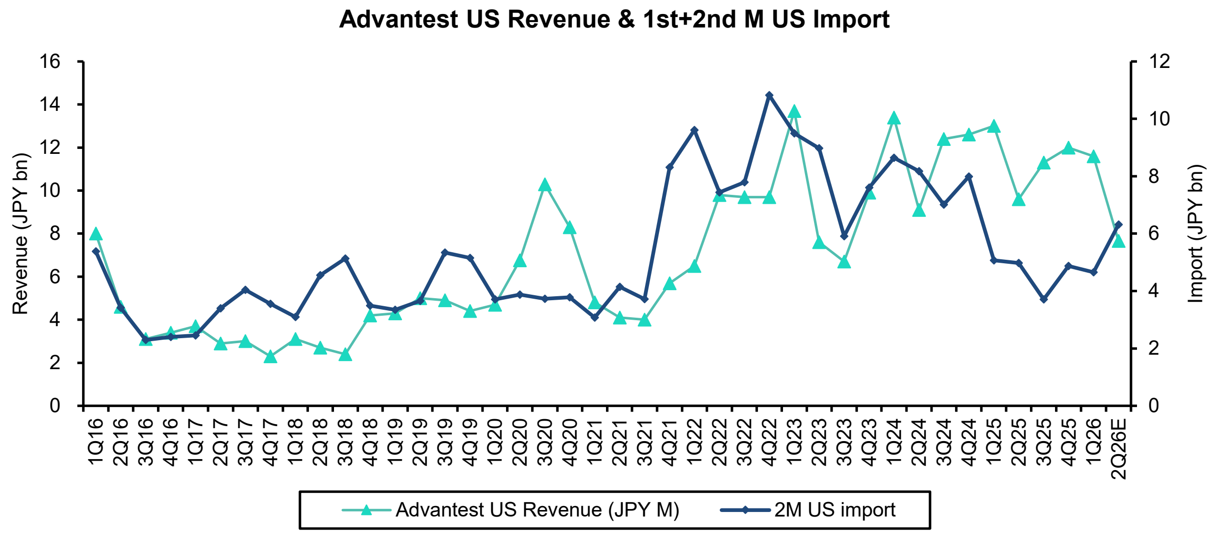
EXHIBIT 22: **Korean import in C2Q26 is indicating QoQ growth, and this dataset has shown decent directional correlation with Advantest.**



Source: Company disclosures, Korea Customs Service, Bernstein estimates and analysis

United States import

EXHIBIT 23: **US import data for C2Q26 is indication QoQ decline, but this dataset does not have strong directional correlation with Advantest.**



Source: Company disclosures, United States International Trade Commission, Bernstein estimates and analysis

KOKUSAI

Kokusai will publish 1Q27 results on Thursday 6th August.

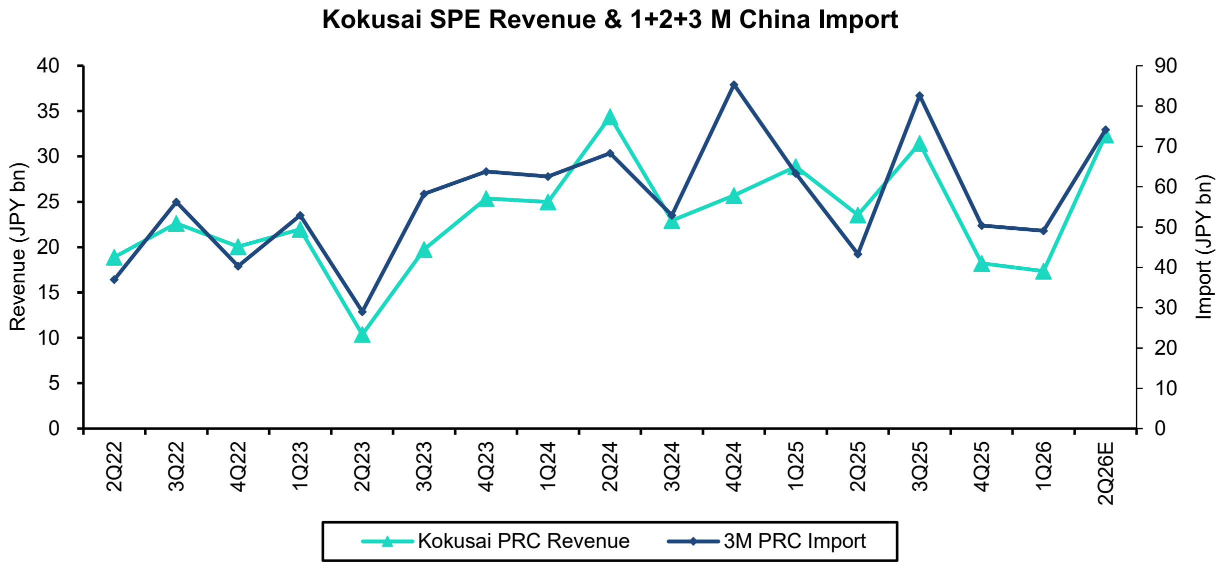
Strong China import — Our regression analysis based on PRC imports (Exhibit 24) suggests +86% QoQ in China sales for Kokusai. As Kokusai went public only in late 2023, data availability is limited and no conclusive prediction could be made on the corporate revenue. If we assume the rest of the world is flat QoQ, the implied revenue would be ¥77bn, 5.5% above consensus. However, we wouldn't use this as a strong indicator for a beat / miss either way.

Memory beneficiary — More importantly, we expect Kokusai to benefit from the strong memory upcycle, given its big exposure to memory. All the news flow of accelerated DRAM investment as well as upside from CXMT IPO this year should be positive and for Kokusai. Product-wise, we expect mini batch ALD penetration in NAND to be the key discussion point, where China and Global NAND companies adopt it with high layer count.

Expect guidance raise — Guidance-wise, company's weak FY guidance last quarter was to many investors' and our disappointment. They are expected to raise their full year guidance to a more reasonable number such as >¥300bn, and potentially raise WFE forecast. We also expect them to shed some light on their capacity situation for this year as well as for the upcoming few years.

Kokusai China Import

EXHIBIT 24: **China import for C2Q26 is showing QoQ growth, and this data shows good directional correlation with Kokusai despite only short data is available.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

SCREEN

Screen will publish 1Q27 results on Tuesday 28th July.

Expect Q1 miss — Our regression analysis (Exhibit 25-Exhibit 30) based on Taiwan / PRC imports suggests a Q1 miss from Screen for their SPE segment, as our regression suggests Q1 revenue of ¥94bn vs. the consensus of ¥127bn. With the expectation now that the delayed revenue recognition of c. ¥26bn will be either recognized within 1H, this be may offset most of the shortfall.

Noteworthy is that regression result for Screen is with slightly less conviction vs. TEL and Advantest, since we only have 2 regions worth of data, and Screen's revenue recognition is on installation-basis rather than shipment-basis which is common for other companies, so the correlation is much lower than for other SPE peers.

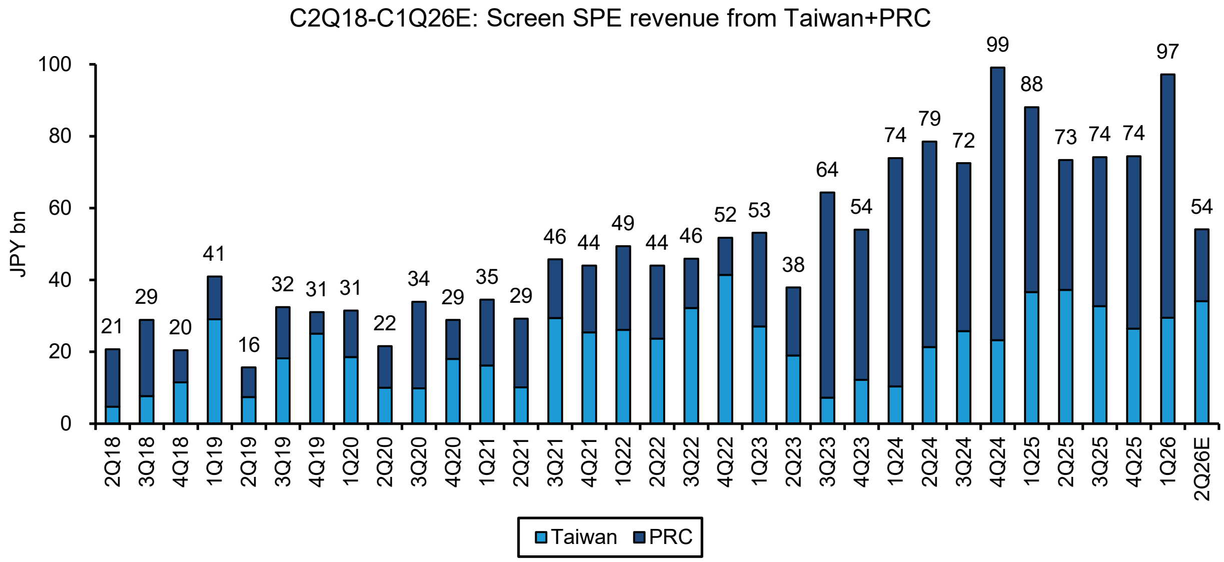
In terms of guidance, we expect some pricing upside akin to TEL, and may see margin upside in 2H and company may guide up accordingly but we would expect upward revision to happen in Q2 rather than this earnings.

EXHIBIT 25: **Our regression-based analysis point to a Q1 miss for Screen.**

	Revenue (JPY bn)				
Screen	**1QFY26 (2QCY26)**	**4QFY26 (1QCY26)**	**1QFY27E (2QCY26E)**	**YoY**	**QoQ**
Total SPE	110	147			
Import (Predicted)			94	-14%	-36%
Bernstein			121	10%	-18%
Consensus			127	16%	-14%

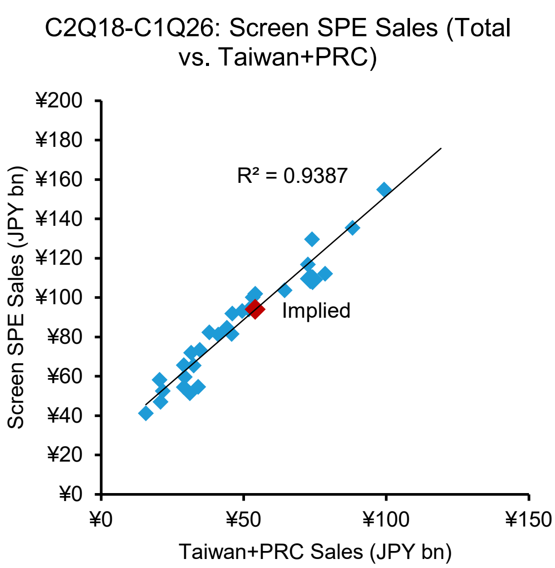
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 26: **Based on regression, we expect Screen's SPE revenue from Taiwan and PRC to be collectively ¥54bn.**



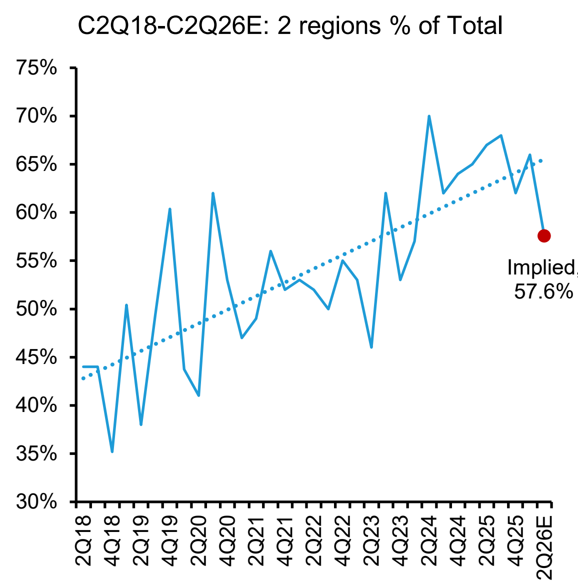
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 27: **And we derive Screen's total SPE sales based on regression.**



Source: Company disclosures, Bernstein estimates and analysis.

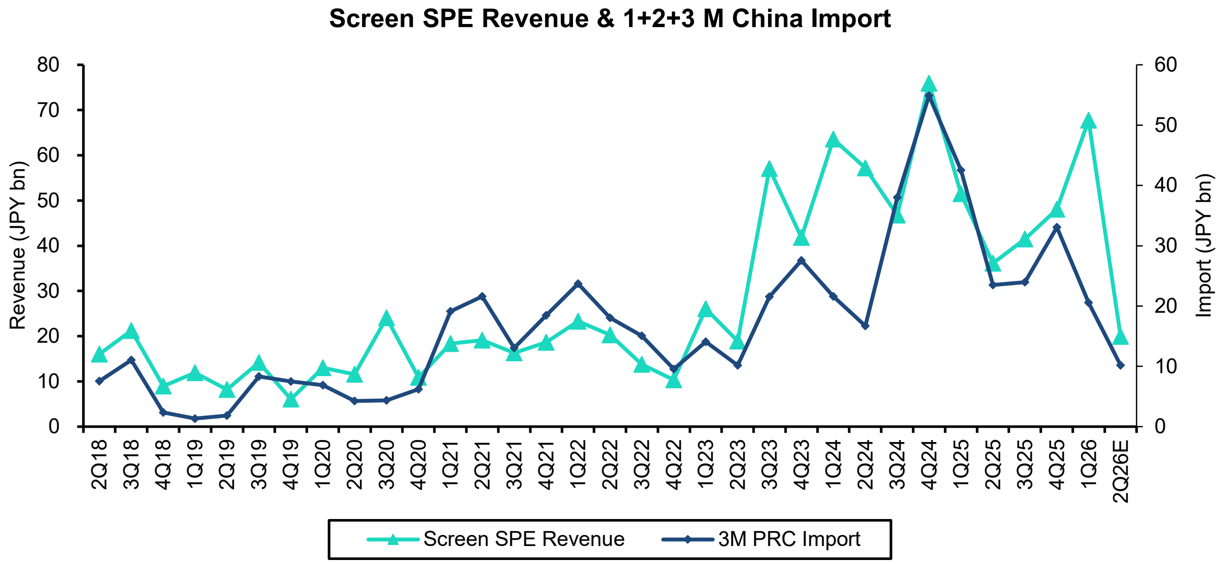
EXHIBIT 28: **Our regression-based Screen SPE sales of ¥94bn in CQ2 implies a 57.6% mix from Taiwan and PRC, and slightly below the historical trendline.**



Source: Company disclosures, Bernstein estimates and analysis.

China

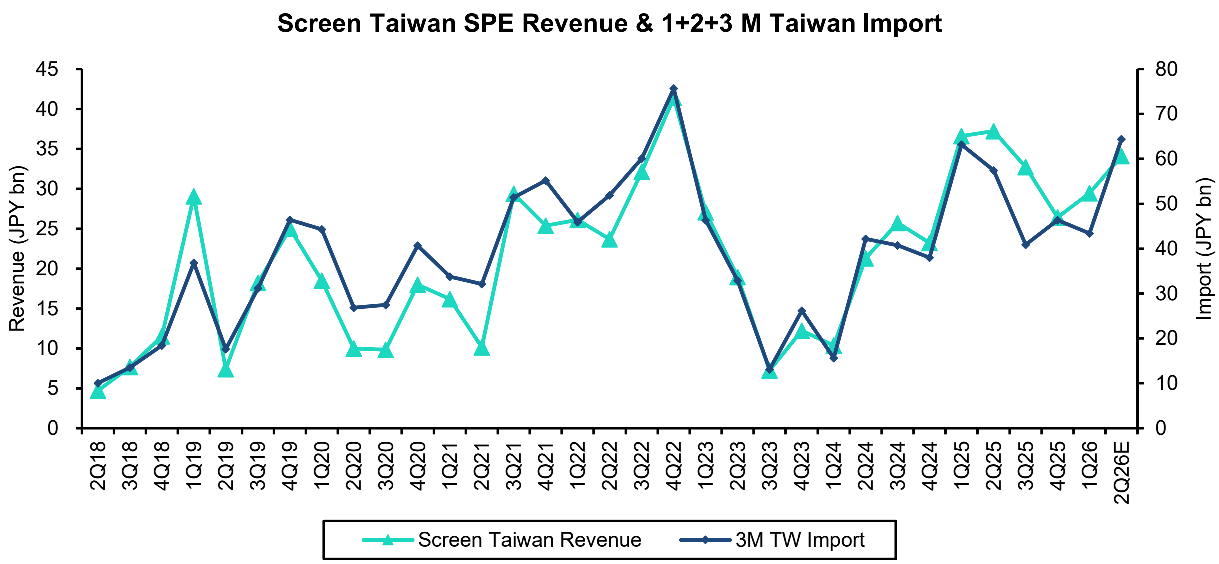
EXHIBIT 29: **China import in C2Q26 is indicating QoQ decline, and this data shows decent directional correlation with Screen.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Taiwan

EXHIBIT 30: **Taiwan import in C2Q26 is showing QoQ growth, and this data shows good directional correlation with Screen.**



Source: Company disclosures, Customs Administration of Taiwan, Bernstein estimates and analysis

LASERTEC

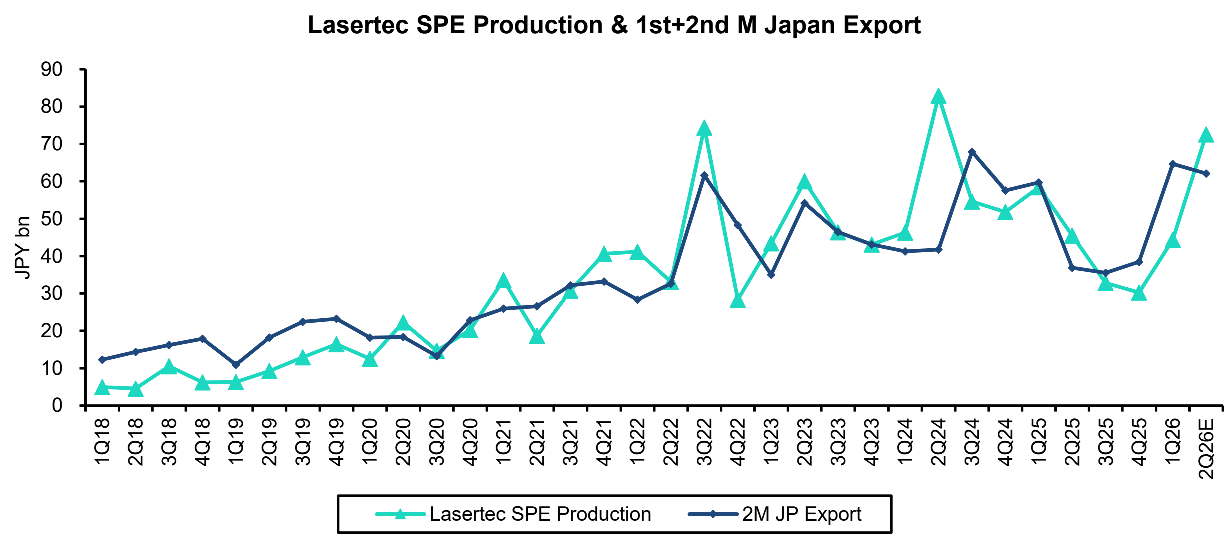
Lasertec will publish 4Q26 results on Thursday 6th August.

Expect Q4 production growth — There are not enough data points to sufficiently predict Lasertec's shipment or revenue, and we believe the most relevant leading indicator available now is production since they stopped disclosing their quarterly orders.

Based on Japan equipment export data, we expect Lasertec's production value to be +54% QoQ (Exhibit 31-Exhibit 33).

Eyes on FY27 guidance — The company will likely provide FY guidance for FY27/6, both in terms of revenue and order. Feedback we got is buyside expects ¥380-400bn order guidance — although we believe a more likely scenario would be where company would lean more conservative and guide somewhere close to ¥350bn, leaving some room for upward revision in upcoming quarters. We also anticipate some further updates to the pace of the adoption for ACTIS A200 HiT.

EXHIBIT 31: **Japan export for C2Q26 is implying QoQ growth, and this data shows some directional correlation with Lasertec.**



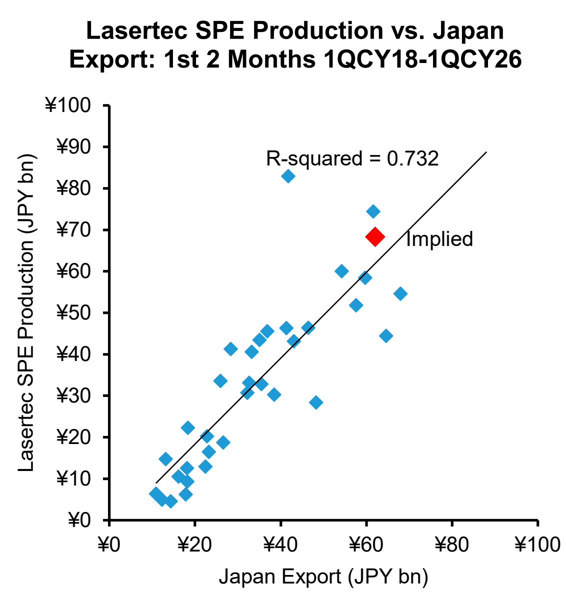
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 32: **We expect Lasertec's Q4 SPE production of ¥68bn, +54% QoQ.**

	Production (JPY bn)		
	4QFY25 (2QCY25)	3QFY26 (1QCY26)	4QFY26E (2QCY26E)
SPE Production	46	44	68
YoY			50%
QoQ			54%

Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 33: **Lasertec's SPE quarterly production shows good correlation with Japan export data.**



Source: Company disclosures, METI, Bernstein estimates and analysis

RENESAS

Renesas will publish 2Q26 results on Friday 31st July.

Expect Q2 revenue a miss — Exhibit 34 shows our regression-based Q2 revenue estimates, based on MCU export data (Exhibit 37) for Auto and WSTS Japan MCU data (Exhibit 38) for IIoT. These two summed up indicate that Renesas total revenue will be a QoQ decline (Exhibit 35), which lags consensus of +6% QoQ. The number comes from METI MCU -19% QoQ and WSTS MCU -1% QoQ. However, we notice that we only have April and May data at this moment and METI data may be very variable from month to month. We also note that the correlation between METI MCU and Renesas' auto business sales has weakened in recent quarters. We hence would not expect a miss of -9% QoQ suggested by regression.

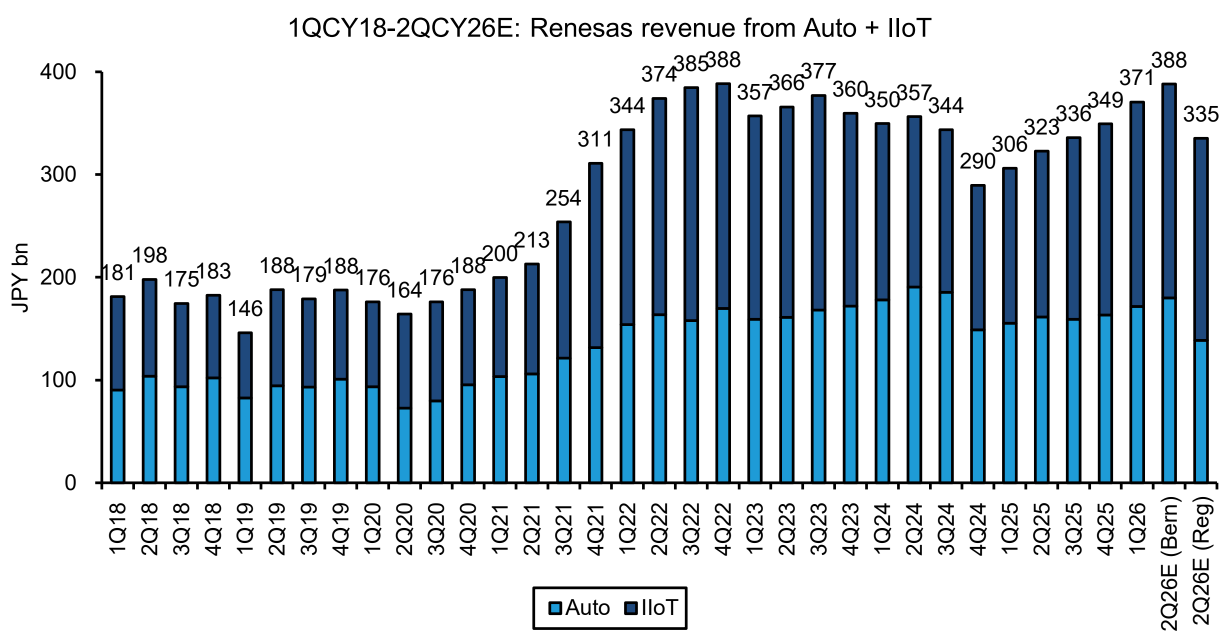
Expect margin expansion in 2H26 driven by price hikes. We expect Renesas to guide for sequential revenue growth and margin expansion in 2H26, reflecting the price increases implemented since July. Growth should be supported by continued AI server demand, alongside ongoing inventory restocking in the auto and industrial applications. On the other hand, a lack of clearer guidance on pricing actions and their margin impact could disappoint investors, in our view.

Long-term growth looks solid. As indicated in *Infineon/Renesas: CPU renaissance emerges as a second engine for power semi demand, set to outstrip supply*, we believe Renesas to continue to grow in the power semi space given the rise of AI power demand.

Investor focuses on the call:

- Update on price hikes and how it will reflect in Renesas' guidance
- The auto and industrial cycle restocking situation
- Update on capacity (both in-house and external from foundry partners) and supply-demand situation
- Any color on the AI business growth outlook will be increasingly important for long-term investors

EXHIBIT 34: **Our regression analysis indicates that Renesas' revenue from Auto and IIoT reaches collectively ¥335bn in 2QCY26E (or ¥338bn if including other product lines), vs. our estimate of ¥388bn (or ¥390bn if including other product lines).**



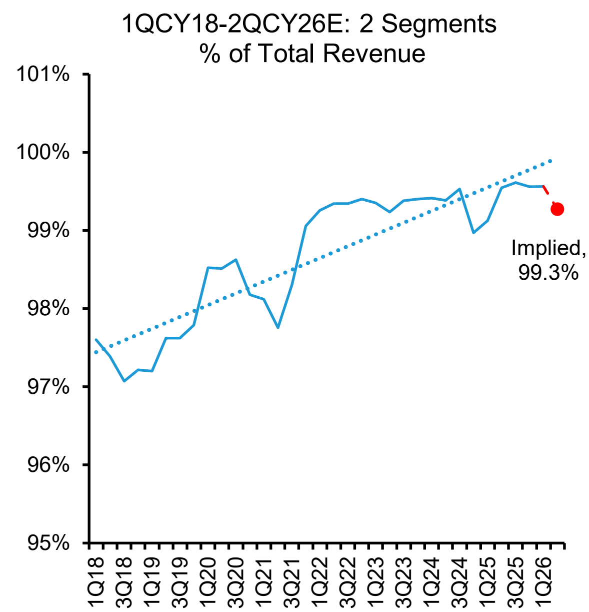
"Reg" indicates estimates from regression analysis.
Source: Company disclosures, Bernstein estimates and analysis

EXHIBIT 35: **Based on our regression, we expect a miss in CYQ2 for Renesas.**

	Revenue (JPY bn)				
Renesas	2Q25	1Q26	2Q26E	YoY	QoQ
Total Sales	324	372			
Predicted			338	4%	-9%
Bernstein			390	20%	5%
Consensus			394	22%	6%

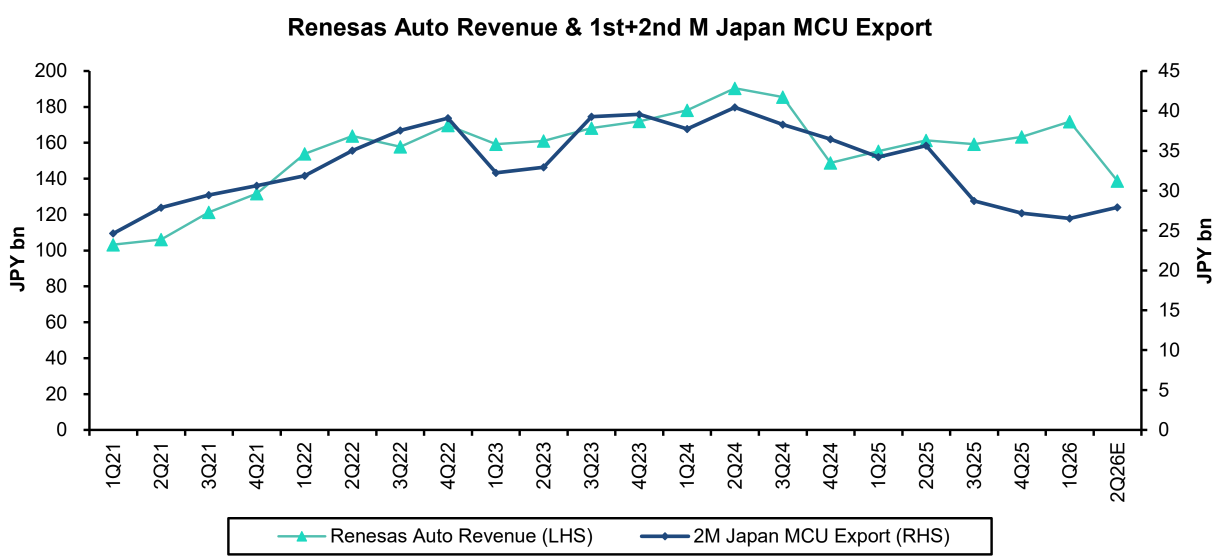
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis

EXHIBIT 36: **Our regression-based Renesas sales of ¥335bn in CQ2 implies a 99.3% mix from Auto and IIoT.**



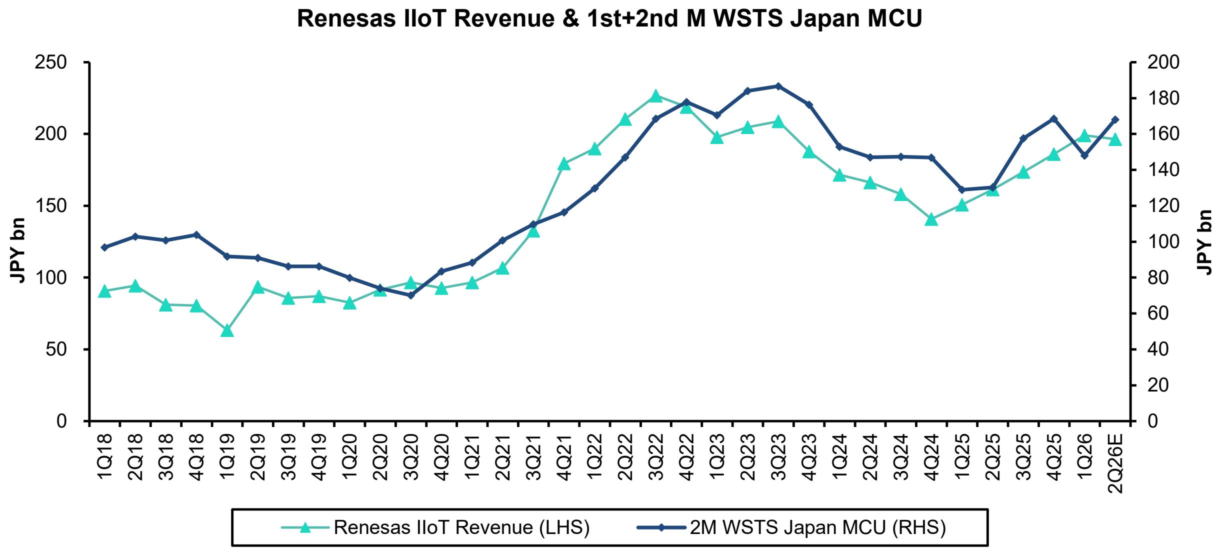
Source: Company disclosures, Bernstein estimates and analysis

EXHIBIT 37: **Japan export for 2QCY26 is indicating a QoQ increase, and this data shows some directional correlation with Renesas Auto sales. That said, we note that the correlation has weakened in recent quarters.**



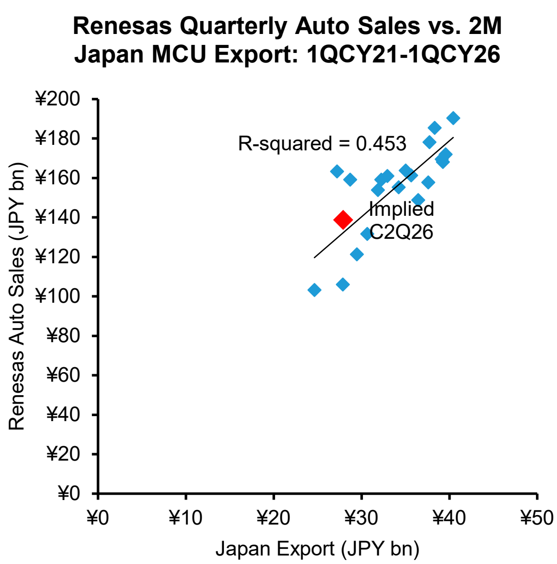
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 38: **WSTS Japan MCU for 2QCY26 is indicating slight QoQ increase, and this data shows some directional correlation with Renesas IIoT sales.**



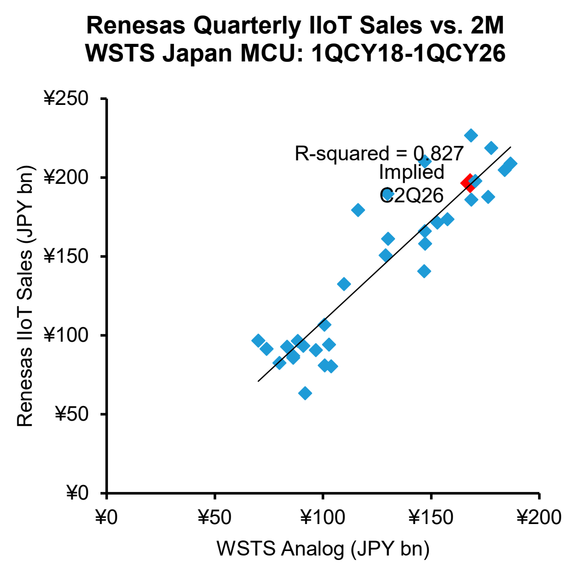
Source: Company disclosures, WSTS, Bernstein estimates and analysis

EXHIBIT 39: **Renesas' quarterly Auto sales shows some correlation with Japan export data. That said, we note that the correlation has weakened in recent quarters.**



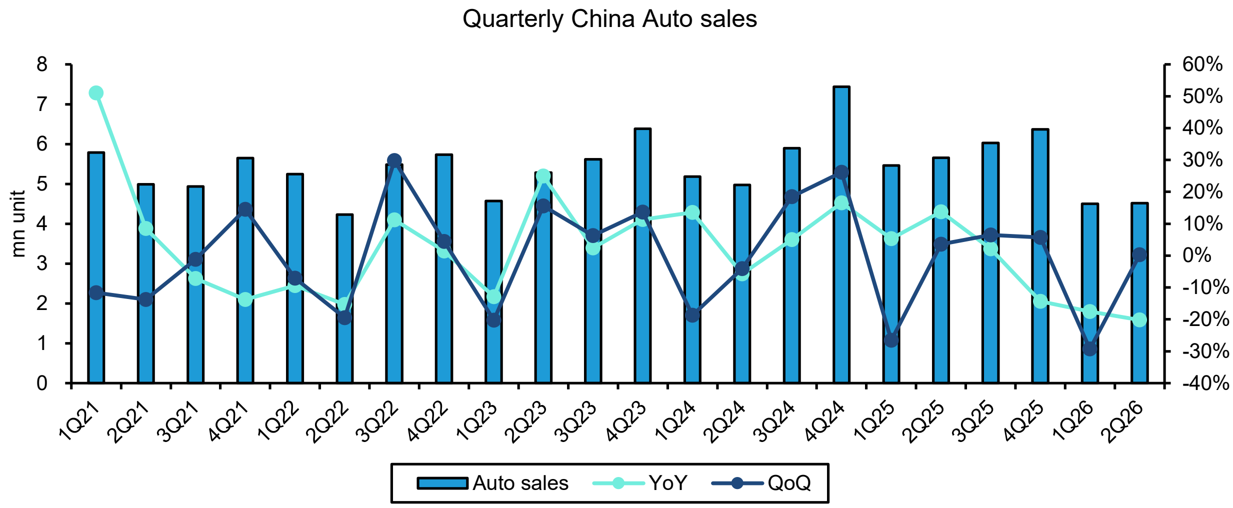
Source: Company disclosures, WSTS, Bernstein estimates and analysis

EXHIBIT 40: **Renesas' quarterly IIoT sales shows good correlation with WSTS Japan MCU data.**



Source: Company disclosures, WSTS, Bernstein estimates and analysis

EXHIBIT 41: **China's auto sales stayed flattish QoQ yet declined 20% YoY, still weighed down by the pull-forward effect of last year's subsidy program.**



Source: C.A.D., Bernstein Asian Auto research team

SUMCO

SUMCO will publish 2Q26 results on Thursday 6th August.

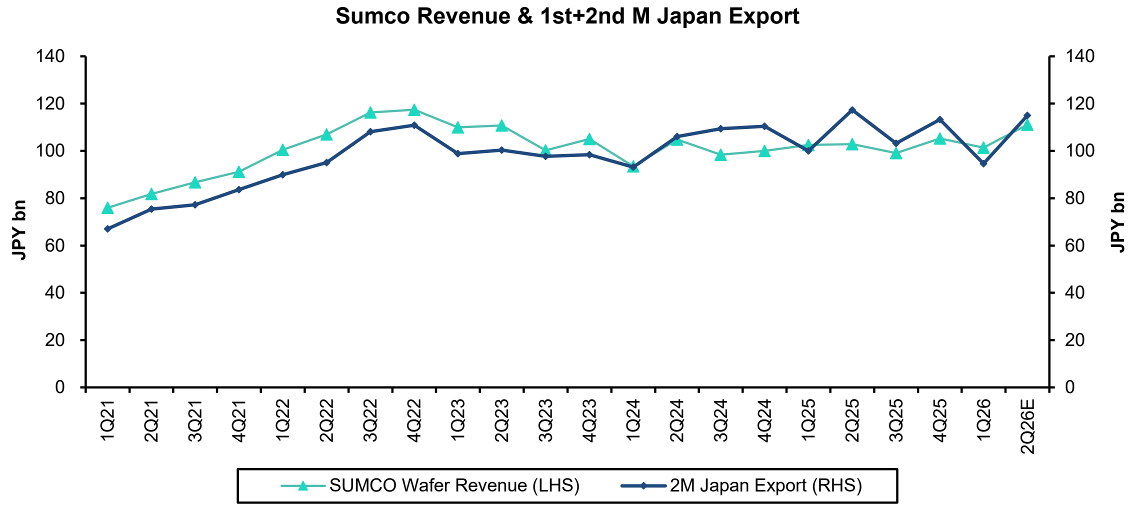
Expect Q2 revenue in line — Our regression analysis (Exhibit 43, Exhibit 44) is based on Japan wafer exports (Exhibit 42), and the regression result suggests QoQ growth of +10% for SUMCO revenue in Q2, inline with consensus estimate.

Spot price hikes provide limited fundamental upside to SUMCO — We note that wafer spot prices have started to increase. That said, we see limited fundamental upside for SUMCO, as ~90% of its 12-inch wafer shipments are covered by long-term agreements (LTAs), most of which do not expire until late 2027-28. In addition, current spot prices remain below contracted LTA pricing. Nevertheless, the recent spot price increases and expectations around future LTA negotiations are having a greater impact on the share price than the underlying fundamentals. SUMCO's shares have already rallied on these developments, in our view.

Investor focuses on the call:

- Inventory: SUMCO included inventory data in its presentation, and we expect investors to look for the latest update to this exhibit. If customer inventory shows a meaningful decline, it would be a strong signal that the cycle is turning.
- Color on LTA negotiations (potential price hike or not), which we do not see much to be provided.

EXHIBIT 42: **Japan export for 2QCY26 is showing QoQ increase, and this data shows some directional correlation with Sumco.**



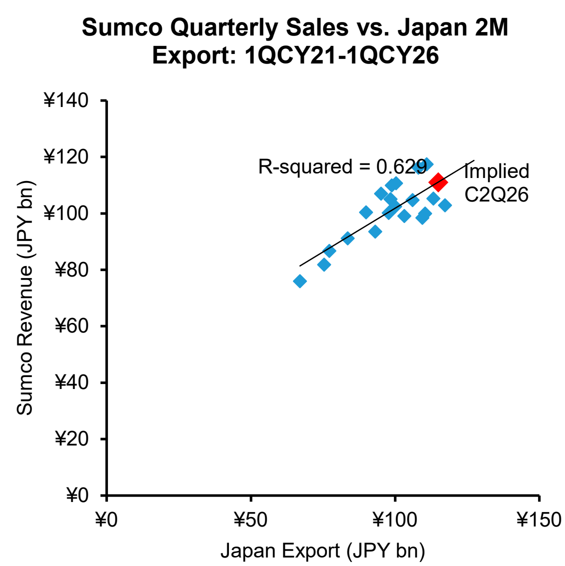
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 43: **Our regression analysis suggests Sumco's Q2 sales of ¥111bn, +10% QoQ.**

	Revenue (JPY bn)		
	1Q26	2Q26E	QoQ
Total Sales	101	111	10%
Bernstein		112	11%
Consensus		111	10%

Source: Company disclosures, METI, Bernstein estimates and analysis.

EXHIBIT 44: **Sumco's quarterly sales shows good correlation with Japan export data.**



Source: Company disclosures, METI, Bernstein estimates and analysis

IBIDEN

Ibiden will publish 1QFY27/3 results on Wednesday 5th August.

Expect electronics revenue beat slightly vs. consensus — Our regression analysis (Exhibit 45, Exhibit 47, Exhibit 48) based on Japan METI production data on rigid PCB boards (Exhibit 46) suggests +5% QoQ for the electronics segment in June-Q, higher than consensus of +3% QoQ. The robust Jun-Q production is attributable to the ramp of Nvidia's Rubin GPU during the quarter. We find METI data correlates very well with Ibiden FC package revenue, and we made the estimate adjusted for seasonality.

Near-term volatility from the Rubin Ultra design change — Reports suggest NVIDIA will potentially cancel the quad-die Rubin Ultra GPU in favor of a dual-GPU design, raising concerns about Ibiden's long-term ABF content growth. That said, Ibiden's share price has already declined ~39% from its late-June peak, which we believe has largely reflected these concerns. In addition, stronger-than-expected Rubin ramp could drive upside to management's FY26 OP guidance of ¥90bn.

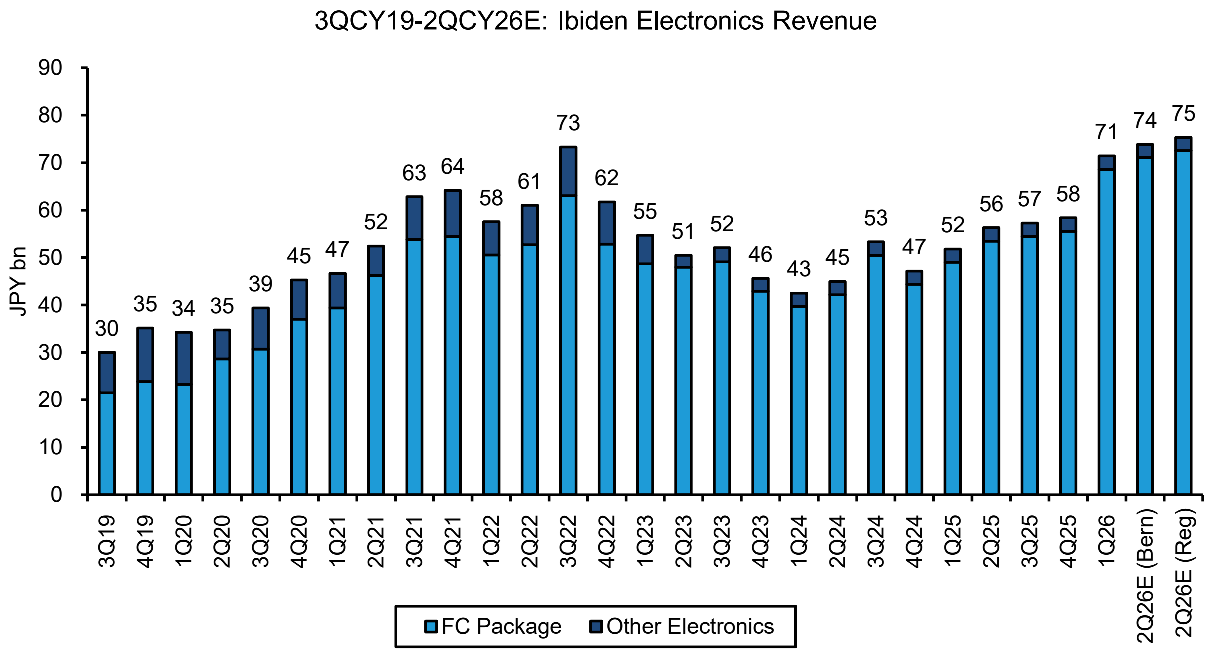
Potential margin upside from pricing — If Ibiden follows its Taiwanese peers in raising substrate prices, margins could see meaningful upside. That said, we expect Ibiden to remain more conservative on pricing than its Taiwanese counterparts, suggesting any benefit is likely to materialize gradually.

Potential margin expansion thanks to price hikes — If Ibiden decides to raise price similar to what its Taiwanese peers, it might lead to upside potential for the company's margins. Still, Ibiden is likely to be more conservative in terms of pricing strategy vs. peers.

Investor focuses on the call:

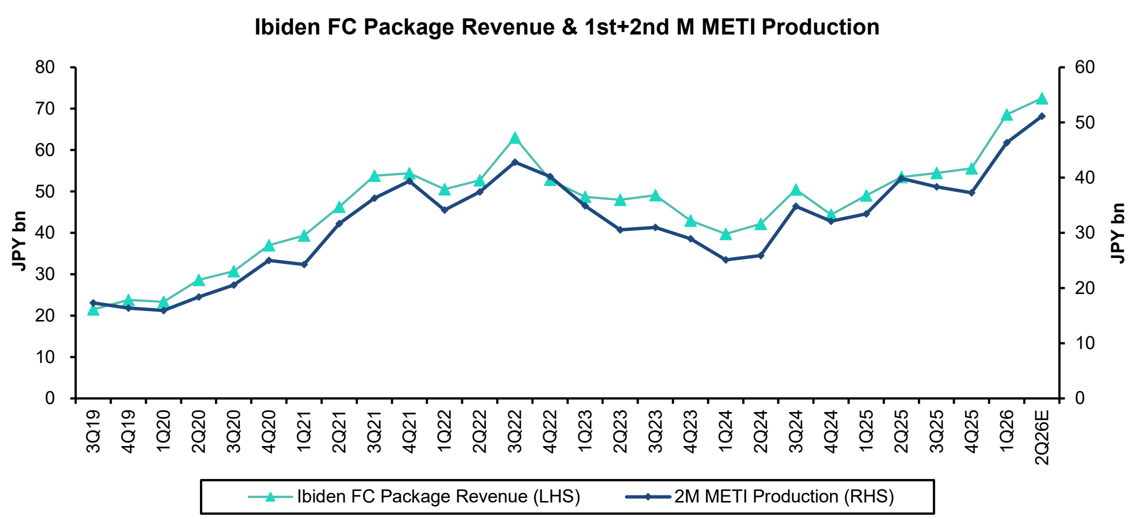
- NVIDIA Rubin Ultra design change — Investors will likely seek for management's latest view on the Rubin Ultra design and impact on Ibiden's growth outlook.
- NVIDIA Rubin ramp — Investors will likely look for management's latest view on the Rubin ramp and impact on Ibiden's near-term revenue.
- Potential upward revisions to annual guidance — Investors will likely be happy if management raises the full year guidance of ¥90bn OP, potentially supported by a stronger-than-expected Rubin ramp.
- Price hike — With Taiwan peers already indicating price hikes, investors may look for similar commentary here. That said, Ibiden is likely to be more conservative in terms of pricing strategy vs. peers. Ibiden may simply pass through higher raw material costs rather than expand profitability.
- Capex / EMIB-T — Investors are also likely to learn more updates on the ¥500bn capex plan announced in February *(refer to Ibiden: Big investment shows customer commitment. Outperform),* as well as any commentary on EMIB-T-related opportunities, which we discussed in *Global Semis: Can Intel challenge TSMC with EMIB-T? And who benefits in the supply chain?*
- CPU shortage — Any commentary on CPU demand, particularly related to Intel and AMD, will also be in focus. Better-than-expected CPU demand or supply tightness could provide incremental upside and help offset some near-term softness in the NVIDIA Rubin Ultra design change story.

EXHIBIT 45: **Our regression analysis indicates that Ibiden' Electronics revenue reaches ¥75bn in 2QCY26E, vs. our estimate of ¥74bn.**



Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 46: **METI's production data for 2QCY26 is showing QoQ increase, and this data shows good directional correlation with Ibiden.**



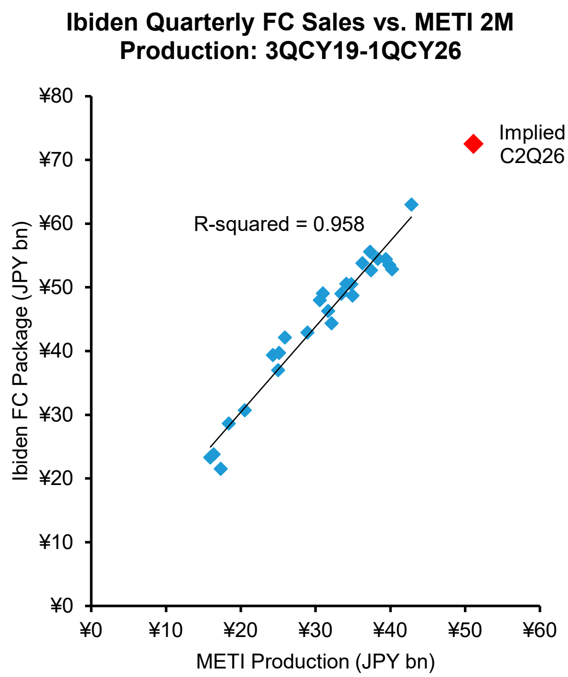
Source: Company disclosures, METI, Bernstein estimates and analysis

EXHIBIT 47: **Our regression analysis suggests Ibiden's Q2 electronics sales of ¥75bn, +5% QoQ.**

	Revenue (JPY bn) 4QFY26/3 (1QCY26)	1QFY27/3E (2QCY26E)	QoQ
Total Electronics Sales	71	75	5%
Bernstein		74	3%
Consensus		73	3%

Source: Company disclosures, METI, Bernstein estimates and analysis.

EXHIBIT 48: **Ibiden's quarterly FC package sales shows very good correlation with METI production data.**



Source: Company disclosures, METI, Bernstein estimates and analysis

HOYA

Hoya will publish 1QFY27/3 results on Friday 31st July.

Positive developments in EUV and HDD. Hoya results are likely solid with strong EUV and HDD substrate demand, and investors are likely to ask when they might be able to raise price for HDD substrates, especially if a capacity constraint is likely next year.

- While no specific tracking data is available for Hoya quarterly results, we're optimistic on Hoya's longer term earnings sustainability going forward. On mask blanks, the market for 3nm will be strong next year, and phase shift EUV mask for 2nm is expected to become the next growth driver after 2027.

- On HDD, HAMR has entered mass production with Seagate adopting the technology first, and recently Toshiba announced adoption after WDC, suggesting Hoya's addressable market expanded from 40% to 100%. The strong HDD demand from end customers suggest Hoya may have to revise up its HDD and EUV forecasts and expand capacity further. In addition, HDD supply continues to be in shortage driven by explosive surge of AI workloads and data center storage demand. That being said, Hoya does not plan to raise the price simply due to the shortage.

- Meanwhile, the recovery of life care business continues with steady growth. We also track the monthly revenue of Gudeng (3680.TT, not covered), the mask pod provider to monitor the growth. The monthly revenue grew +35% YoY for 3m average in Jun-Q, which may be positive for Hoya's mask blank growth (Exhibit 49).

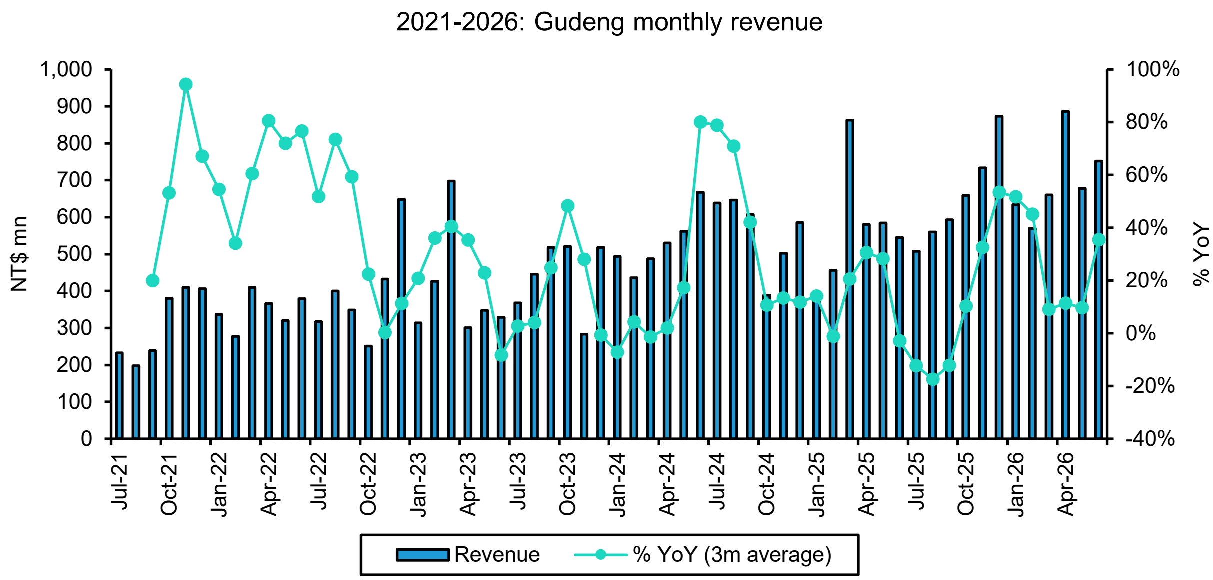
- Although Hoya benefits from both EUV and HDD growth, the revisions will be less strong as there is not much volume or ASP uplift.

Margin guidance. We expect Hoya to guide positively on life care margin, anticipating a sequential recovery of OPM towards 20%. On the other hand, we anticipate IT segment OPM to remain above 50%, driven by strong demand for EUV mask blanks and HDD substrates.

Investor focuses on the call:

- EUV remains very strong — Investors will likely look for confirmation that EUV demand remains solid, with continued support from advanced node adoption and favorable read-across from ASML results.
- S&S qualification — A minor overhang is Samsung (005930.KS, covered by Marck Li)'s qualification of S&S Tech (101490.KS, not covered)'s EUV blank masks. According to The Elec, Samsung is testing S&S Tech's EUV blank masks in its 4nm foundry production line, and while this has been discussed for some time, it will likely still come up on the call.
- HAMR — Investors will likely focus on any update to the adoption timeline from the second and third customers.
- HDD price hike — Investors are also likely to ask when Hoya is able to raise price for HDD substrates, especially if capacity tightens next year.

EXHIBIT 49: **Gudeng continues to show decent revenue growth, with 3-month average reaching 35% YoY in June.**



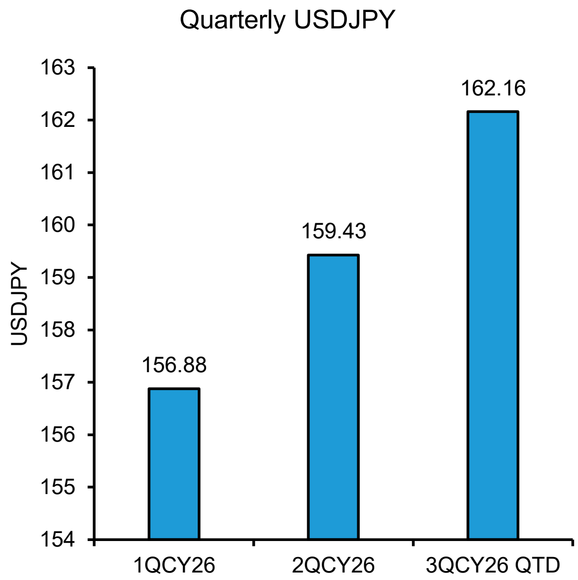
Source: Company disclosures, Bernstein analysis

FX — YEN DEPRECIATES, POSITIVE FOR MOST NON-SPE NAMES

In C2Q26, USDJPY has depreciated by ¥2.6 (or 1.6%) QoQ (Exhibit 50). FX would be a tailwind for many companies in coverage for this quarter. For C3Q26 QTD, JPY is also up at ¥162.16 (1.7% depreciation), which could provide some further tailwind.

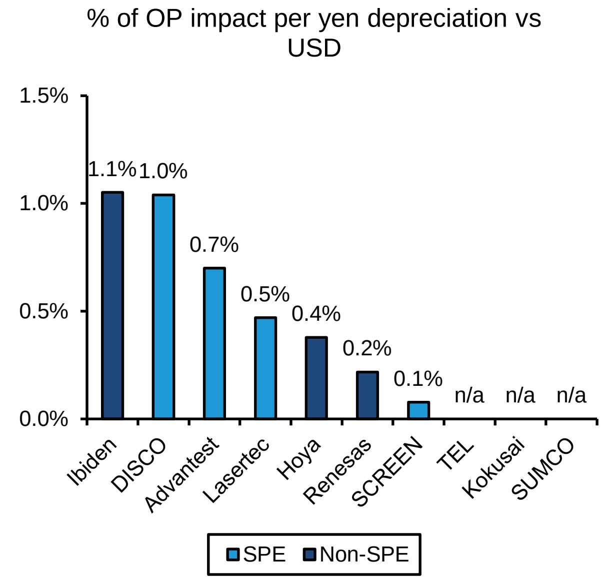
We prefer Ibiden, SUMCO and Renesas into the earnings in terms of FX, especially with JPY depreciating. Disco is rather high on the list but this FX rate was in-line with their guidance. In general, the SPE companies are affected less from FX fluctuations as many of them sell their products and incur costs in JPY.

EXHIBIT 50: **JPY depreciated 1.6% in Jun-Q, and QTD saw similar depreciation of 1.7%.**



Source: Bloomberg, Bernstein analysis

EXHIBIT 51: **Sensitivity Analysis to FX Fluctuations**



Source: Company disclosures, Bernstein estimates and analysis.

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RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

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Autonomous credit ratings are based on a 6-month time horizon.

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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

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